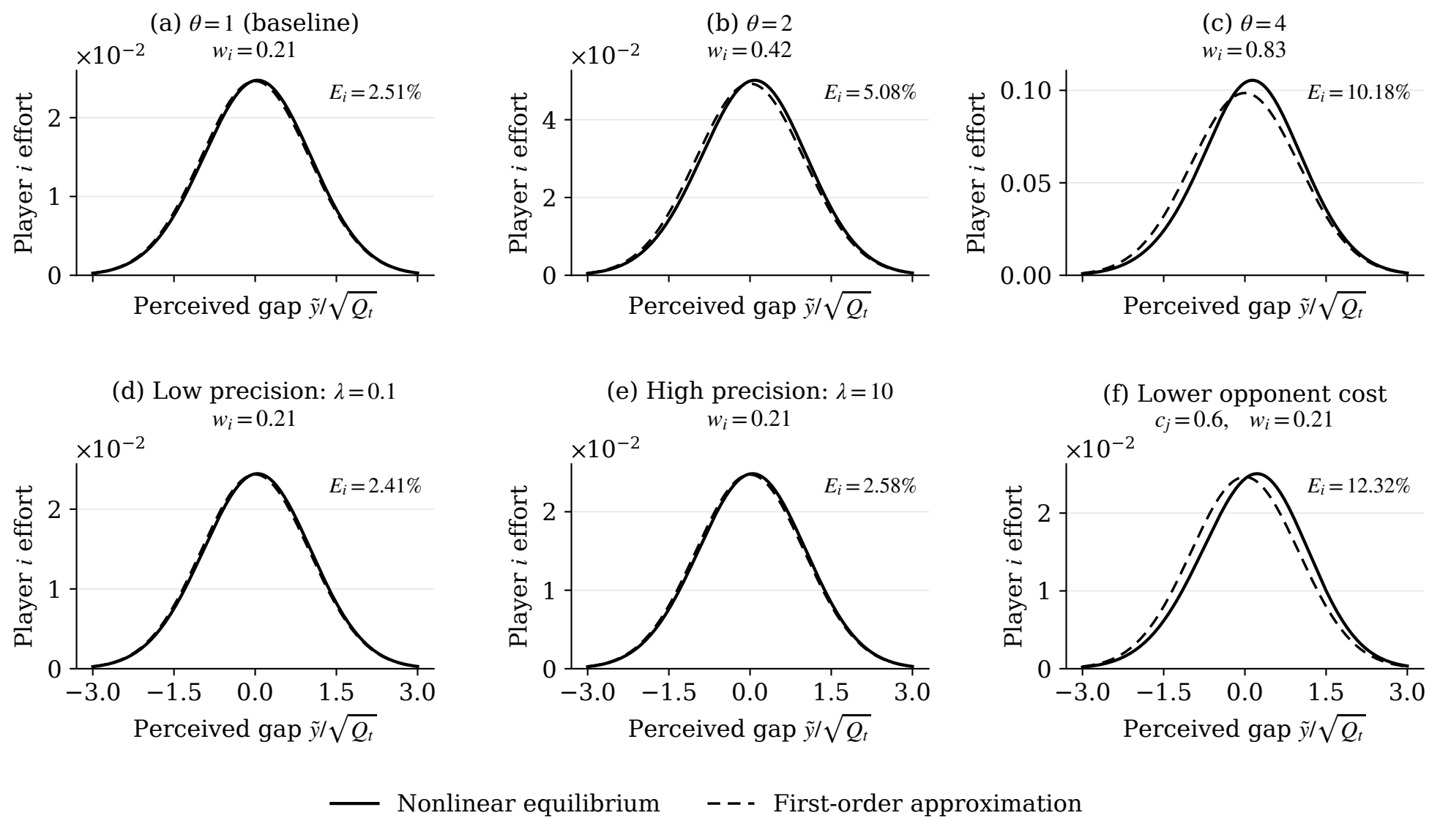
(a) $\theta = 1$ (baseline)
$w_i = 0.21$
$E_i = 2.51\%$
(b) $\theta = 2$
$w_i = 0.42$
$E_i = 5.08\%$
(c) $\theta = 4$
$w_i = 0.83$
$E_i = 10.18\%$
(d) Low precision: $\lambda = 0.1$
$w_i = 0.21$
$E_i = 2.41\%$
(e) High precision: $\lambda = 10$
$w_i = 0.21$
$E_i = 2.58\%$
(f) Lower opponent cost
$c_j = 0.6, \quad w_i = 0.21$
$E_i = 12.32\%$
$\times 10^{-2}$
Player i effort
Perceived gap $\tilde{y}/\sqrt{Q_t}$
Nonlinear equilibrium
First-order approximation